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Effects on the Personal Tax Burden**

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Income Tax Indexation and Fiscal Drag: Effects on the Personal Tax Burden

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Abstract

This paper studies whether indexation of personal income tax parameters mitigates fiscal drag, focusing on the Average Income Tax Rate (AITR) on labor income. Using an OECD panel, we estimate the impact of the intensity of inflation on the AITR, differentiating by non-indexing and indexing systems. We show that indexation systematically changes the inflation-AITR relationship by weakening the pass-through from inflation into average tax rates. We show that the increase in the Consumer Price Index from 2019 to 2024 is associated with a decrease in the average AITR of more than 1.75 percentage points due to indexing regimes and an increase of 1.18 percentage points due to non-indexing regimes. The differential impact of the indexation of the fiscal system implies a decrease of the inflation impact on AITR of 0.57 percentage points, which is about 3% of the mean of the AITR in 2019. This means that the average income tax, when the fiscal system is indexed to inflation, decreases following an increase in consumer prices: the purchasing power of wages, even when updated, usually declines after inflation, and we show that if the fiscal system is properly indexed, it will take this into account by decreasing taxes.

JEL Codes: H24; H21; E31.

Keywords: Fiscal drag; inflation shock; tax indexation.

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1. Introduction

After the inflationary peak of 2022–2023, the fiscal drag that many countries experienced in the 1970s has re-emerged. This mechanism is quantitatively very important in periods of high inflation. However, it has rarely attracted much attention, probably because it allows governments to raise additional revenue without explicitly increasing tax rates.

To understand this mechanism, it is useful to briefly summarize the difference between proportional and progressive taxation. Income taxation is proportional when there is a single tax rate, independent of the income level, and progressive when the tax rate is an increasing function of income. In both cases, the rich pay more than the poor, but in the second case rich pay a higher share of their income than the poor. This can make sense in equitable terms if we refer to real income, but if the increase in income is just nominal and the real income, after taking inflation into account, remains the same, the implementation of a progressive system leads to an increase in the average tax rate without any real increase in income. This is an interesting example which is normally used to didactically explain the fiscal drag. However, we can have the fiscal drag even if we do not have full indexation of income to inflation (which is the case when the real income, even after indexation, decreases). In this setting, the reference average tax rate (counterfactual) will not be the one before the inflation shock, but it will be lower, because the real income has now declined. Therefore, income revenue after inflation, where wages are not completely updated to the inflation rate, must be, in real terms, lower than before the inflation shock.

This result is obtained whenever progressive income fiscal systems are fully indexed to inflation, which means that the limits of income tax brackets and of income classes (used for allowances and tax-credits) are updated in line with the inflation rate. In this case taxes paid will decrease with respect to taxes due without indexation. The difference between the two cases is the fiscal drag. It can be shown that this is equivalent to compute the collected revenue for a given tax system of a given year and a tax base of the same year and compare the result with the revenue obtained by using the same tax system, but with a deflated tax base; the same must then be inflated to obtain the indexed revenue of the indexed system. After that the difference between the two results corresponds to the fiscal drag.

Among OECD countries, those that have maintained indexed personal income tax systems continuously over the past 25 years include the United States, Sweden, Norway, Israel, France, Finland, Denmark, Canada, and Belgium. Indexation was introduced at some point during this period in the Netherlands, the Slovak Republic, Switzerland, New Zealand, Turkey, Germany, Iceland, Mexico, and Austria. By contrast, some countries discontinued indexation (Luxembourg and United Kingdom), while others never implemented it, including Spain, Slovenia, Portugal, Poland, Korea, Japan, Italy, Greece, and Australia.

The aim of this paper is to test whether indexing the personal income tax reduces the marginal effect of a unit increase in inflation on the average tax rate on labor income, thus attenuating the impact of inflation-induced fiscal drag. We also seek to quantify, for a given level of inflation, how much revenue can be extracted from gross wages in countries without indexation, and how much taxes can be avoided in countries with indexation.

2. Related literature

The debate over tax-system indexation dates back to periods of widespread wage inflation. Early theoretical work by Modigliani and Padoa-Schioppa (1977) addresses economic policy within a highly indexed economy where wages were indexed at 100 percent or more to price changes. In periods of high inflation, maintaining a stable average tax rate is essential to preserve tax system neutrality. Without indexation but with progressive taxation, the inflation-induced increase in nominal incomes would mechanically raise the effective tax burden, undermining the stabilizing function of wage indexation and potentially compromising employment, price stability and external balance (Modigliani and Padoa-Schioppa, 1977). Indexation of tax systems is meant to counteract the effects of inflation, preventing unexpected fiscal consequences.

The theoretical foundation of the tax system indexation is rooted in the principle that, within a progressive income tax system, inflation mechanically increases the Average Income Tax Rate (AATR) even when the taxpayer's real purchasing power remains unchanged or is not fully updated. Indexation serves as a corrective mechanism aimed at neutralizing these inflation-induced distortions, thereby restoring tax fairness. Fiscal drag specifically undermines tax progressivity (Lee, 2011) because the erosion of non-indexed tax brackets reduces their real value, a phenomenon known as “bracket creep”. This effect forces taxpayers to pay higher average rates than they should, given their real income, thus altering the desired level of progressivity and redistribution within the tax system.

The distributional consequences of non-indexed tax and benefit systems have been extensively studied using micro-level data. Earlier work by Immervoll (2005) performs a microsimulation analysis and highlights that the erosion of nominal tax parameters reduced the progressivity of tax-benefit systems in countries like Germany, the Netherlands, and the United Kingdom. This methodology confirms that the erosion of the real value of tax-bracket limits is an important channel via which inflation affects tax revenues. Subsequent studies, including Sutherland et al. (2008) and Paulus et al. (2020), show that indexing nominal tax and benefit parameters substantially reduce poverty and inequality by preventing inflation from altering the real value of policy instruments. Sutherland et al. (2008) focus on the long-term consequences of extending existing indexation policies for tax and benefit parameters in the United Kingdom. Their objective is to use detailed household income data to illustrate how the act of increasing benefit and tax thresholds in line with prices could have specific and differing consequences across various population segments over time, such as child and elderly poverty. More recent microsimulation work reinforces this point: for instance, Leventi et al. (2024) find that full indexation of benefits and pensions across EU countries is associated with a marked decrease in income inequality and a reduction in the at-risk-of-poverty rate by several percentage points on average. The most comprehensive and recent characterization of fiscal drag across Europe is provided by García-Miralles et al. (2025). The study quantifies the degree to which governments successfully offset the fiscal drag between 2019 and 2023. The results show that countries like Germany and France largely compensated the effect through indexation or other tax reforms, whereas countries such as Spain, Cyprus, and Malta only partially offset the fiscal drag.

The findings in García-Miralles et al. (2025) after sharply computing the fiscal drag with micro-data, according to the methodology we have previously described, show that using OECD countries in the period 2019-2023, some nations have compensated the fiscal drag, either because they implemented a

fiscal reform or because they had a fiscal indexation system in place. In our analysis we use a panel of OECD countries from 2000 to 2024. We are interested in studying the impact of inflation on the AITR. In particular, we study whether the impact of inflation changes according to the indexation status of the country considered. Since the countries passing from no-indexation to indexation are very few along the panel, we exploit the intensity of inflation to identify the impact on the AITR of indexation. We measure for 25 years across 28 countries how important inflation is in determining the level of the average tax on income. We find that after inflation occurred from 2019 to 2024; it increased (on average) the average tax rate on income by 1.18 in non-indexing countries. At the same time if the indexation mechanism is in place, the previous increase is completely offset. In fact, the average tax rate of the indexing countries decreases by 0.57 percentage points after inflation occurred: this is about 3% of the mean of AITR in 2019. The reason for this interesting result is related to the fact that income contracts do not usually completely update to inflation and on the contrary the fiscal system, if indexation is working, fully updates to the inflation rate.

3. Data

We combine information from different data sources.¹ The main variables (AITR and wages) come from OECD datasets, while macroeconomic control variables (population and GDP per capita) are taken from the World Bank. The first part of the data collection concerns the classification of indexation regimes. Information on whether and when countries index their personal income tax systems are not collected in a single repository. We therefore construct our own classification for each OECD country, based on a combination of institutional documents². In particular, we search for information on the statutory rules governing the adjustment of tax brackets, tax allowances and tax credits to inflation of personal taxation applied to earnings.

We initially collected data for 38 OECD countries. Due to tax data limitations on the AITR variable, we excluded Chile, Colombia, and Costa Rica, leaving 35 countries. Fiscal drag mainly operates through tax progressivity; when the tax scheme is flat or almost flat, higher inflation does not alter the real tax burden substantially. Therefore, we exclude flat-tax or quasi flat-tax countries from our dataset (Czechia, Estonia, Hungary, Ireland, Latvia, and Lithuania), resulting in a remaining sample of 29 countries. Turkey is further excluded from the analysis due to its inflation rate being substantially higher than the average of the other OECD countries included. Indeed, Turkey recorded an average annual inflation rate of 21%, compared with 2.5% for the rest of the sample.³

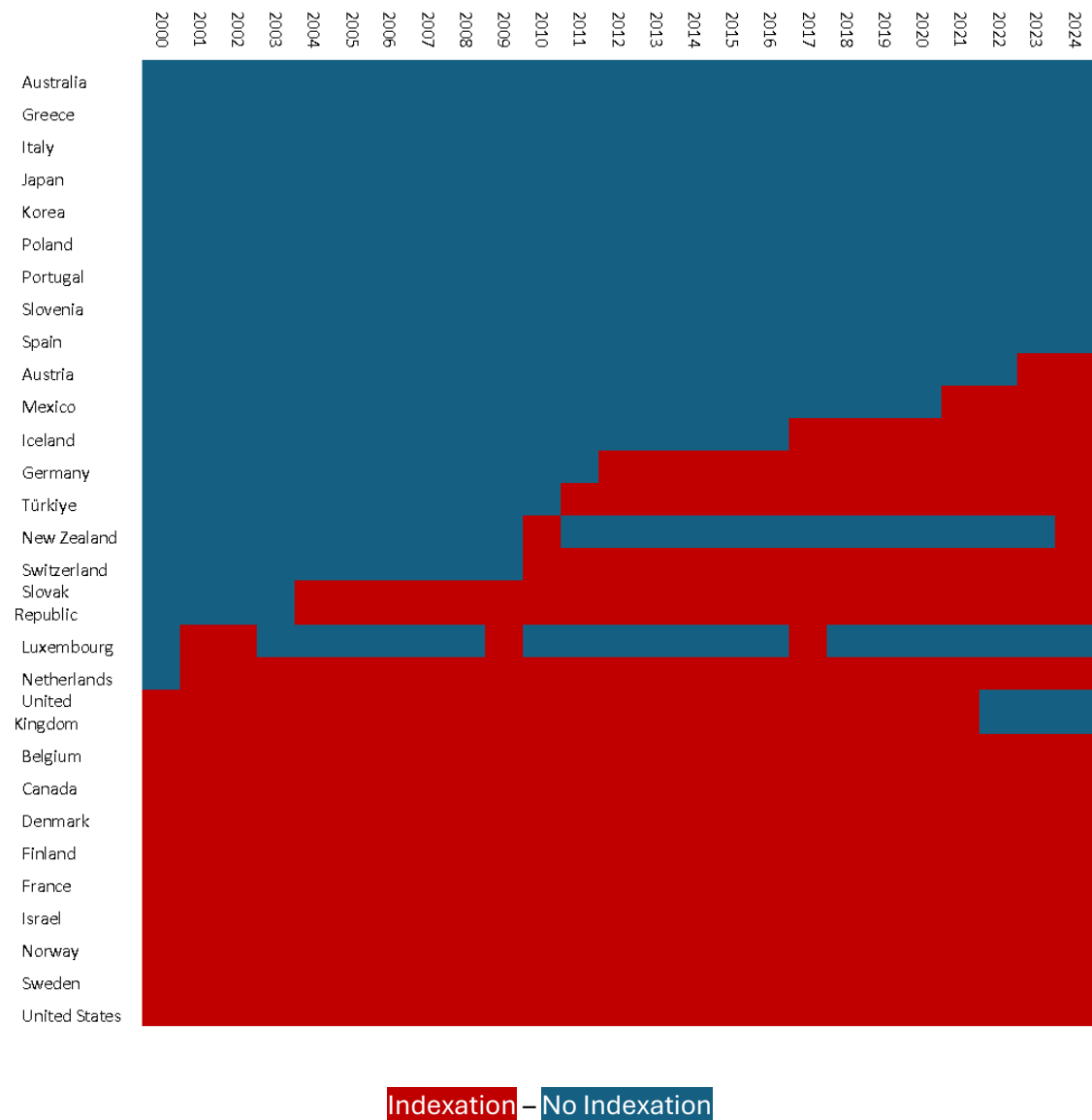
In the period 2000-2024 (Figure 1), 9 countries never implemented an indexation system, 7 countries switched from no indexation to indexation, 9 countries have always had an indexation system. Moreover, two countries (Luxembourg and New Zealand) have alternated periods of indexation with periods in which indexation mechanisms were suspended. Finally, the United Kingdom maintained indexation until 2021, when the mechanism was formally abolished.

¹ The summary statistics of all variables are reported in Table A1 in the Appendix.

² We verified that the collected information is consistent with the reports: OECD (2009), OECD (2023), and García-Miralles et al. (2023).

³ Our main findings are robust to the inclusion of Turkey in the sample (see Table A3).

Figure 1. Indexation systems in OECD countries from 2000 to 2024.



Note: Years in which personal income taxation is indexed are highlighted in red, while years without indexation are shown in blue.

For each country and year, we collect the AITR for a single worker without children from the Taxing Wages OECD dataset. The AITR is the ratio between the income tax and gross wage and it does not include social contributions. It is available at different points of wage distribution, defined as percentages of the average wage. We exploit the four wage levels that are consistently available across countries: 67 percent of the average wage, 100 percent (the average wage), 133 percent and 167 percent of the average wage. These percentages correspond to income positions used for international comparison, where 100% represents the average gross wage of a full-time worker, and the other thresholds capture lower-middle (67%), upper-middle (133%) and higher (167%) earnings.⁴

⁴ The average values of the AITR for all countries are reported in Table A2 in the Appendix.

4. Empirical Model

We test the impact on the AITR of an increase in the Consumer Price Index (CPI). Formally, we estimate the following panel specification for wage level i , country c in year t :

$$(1) AITR_{i,c,t} = \beta_1 indexation_{c,t} + \beta_2 CPI_{c,t} + \beta_3 indexation_{c,t} \times CPI_{c,t} + \beta_4 wage_{i,c,t} + \delta' X_{c,t} + \varphi_i + \mu_c + \pi_t + \varepsilon_{i,c,t}$$

The dependent variable $AITR_{it}$ is the Average Income Tax Rate, computed as the ratio between the personal income tax and the gross wage for a worker i living in country c in year t .

We have four wage levels corresponding to 67 percent of the average wage, 100 percent (the average wage), 133 percent, and 167 percent of the average wage. $Indexation_{ct}$ is a dummy equal to 1 if in country c and year t the personal income tax system includes an indexation mechanism, and 0 otherwise. CPI_{ct} is the Consumer Price Index in country c and year t , with base year 2010. The coefficient β_3 captures the differential impact on AITR of a change in CPI for an indexing country with respect to a non-indexing country. $Wage_{it}$ is a variable indicating the gross wage, net of social contributions, for each i category, expressed in US dollars. The vector X_{ct} includes population and GDP per capita controls. We finally include individual (φ_i), country (μ_c) and year (π_t) fixed effects. Individual fixed effects control for the wage level of the representative units. Country fixed effects absorb time invariant differences in tax systems across countries, such as the underlying level of tax pressure or structural differences in progressivity. Year fixed effects capture shocks that are common to all countries in a given year, such as global commodity price shocks or coordinated policy changes.

5. Results

Table 1 shows a pooled regression without fixed effects or additional controls (Column 1). Column (2) adds socio-economic controls (population, GDP per capita and average wage) and country, year and wage-level fixed effects.

The key coefficient is the interaction term ($Indexation \times CPI$) which captures how the impact on the average income tax rate (AITR) of an increase in CPI (which is a measure of inflation) differs between indexing and non-indexing regimes. In Column (1), the estimated coefficient of the interaction term is negative and statistically significant, suggests that inflation translates into a smaller increase in AITR in countries with indexation than in countries without it, consistent with indexation dampening fiscal drag. Column (1) does not absorb systematic cross-country differences, the indexation dummy in the pooled regression can reflect persistent institutional and structural characteristics correlated with both the adoption of indexation and average tax levels. We therefore switch to Column (2) where we control for macroeconomic country variables, and country, year, wage-level fixed effects. The coefficient of the interaction term remains negative and statistically significant and increases in absolute value: a one point increase in CPI is associated with a negative differential - 0.07 (due to the indexing status). This more than offsets the increase (0.047) in AITR due one point increase in CPI, affecting non-indexing countries. We consider, for instance, a period of high inflation such as the one observed between 2019 and 2024, during which the average (for all considered OECD countries) CPI increased from 114 to 139,

corresponding to an increase of approximately 22%. This implies that, on average, the change in the CPI between 2019 and 2024 led to an increase in AITR of 1.18 for the non-indexing regimes and a decrease of the AITR of 0.57 for indexing regimes, given that the differential effect due to the indexing status is -1.75 which is about 3% of the mean of AITR in 2019.⁵

Table 1. Indexation and CPI effect on Average Income Tax Rate (AITR).

Dep. Variable:	(1) AITR	(2) AITR
Indexation	11.121*** (2.086)	7.295*** (0.741)
CPI	0.008 (0.015)	0.047*** (0.008)
Indexation*CPI	-0.048** (0.020)	-0.070*** (0.006)
Population		0.086*** (0.012)
Wage		0.032*** (0.006)
GDP per capita		-0.047*** (0.010)
Constant	15.701*** (1.528)	13.656*** (0.807)
Observations	2,800	2,800
R-squared	0.114	0.938
Country FE	No	Yes
Year FE	No	Yes
Wage level FE	No	Yes

*Note: Robust standard errors in parentheses. Population is expressed in millions of inhabitants, wage and GDP per capita in thousands of USD. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$*

5.1 Robustness check

To assess the robustness of the baseline results, we implement two complementary strategies. The first strategy consists of re-estimating the model using the lagged value of the CPI (Table 2). The motivation is that most of the OECD countries indexing their tax systems, use an inflation lag, given that they decide to index the personal income taxation the year before people pay taxes. Results are reported in Table 2. The main patterns are preserved. In Column (2) of Table (2), when we include all the control variables and all the fixed effects, the interaction term between indexation and CPI remains negative and statistically significant and has basically the same magnitude as in the previous estimate.

⁵ This effect is computed as follows: for the indexing countries $-1.75 = \beta_3(CPI_{2024} - CPI_{2019}) = -0.070*(139-114)$, and for the non-indexing countries $1.18 = \beta_2(CPI_{2024} - CPI_{2019}) = 0.047*(139-114)$; differential effect $-0.57 = \beta_2(CPI_{2024} - CPI_{2019}) + \beta_3(CPI_{2024} - CPI_{2019}) = 0.047*(139-114) - 0.070*(139-114)$.

Table 2. Indexation and lagged CPI effect on Average Income Tax Rate (AITR).

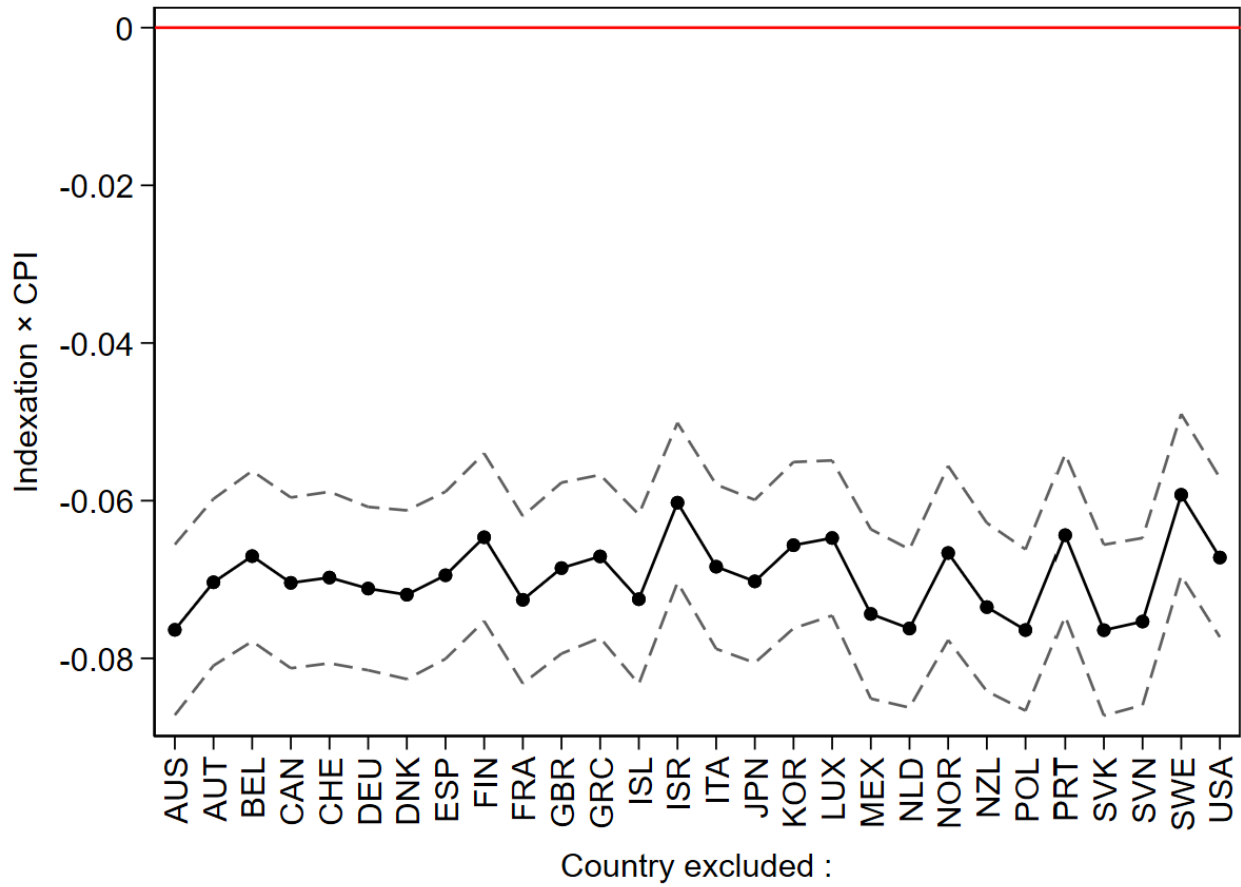
Dep. Variable:	(1) AITR	(2) AITR
Indexation	10.498*** (2.309)	7.193*** (0.790)
CPI _{t-1}	0.009 (0.016)	0.051*** (0.008)
Indexation* CPI _{t-1}	-0.044** (0.022)	-0.072*** (0.007)
Population		0.080*** (0.013)
Wage		0.034*** (0.006)
GDP per capita		-0.043*** (0.011)
Constant	15.669*** (1.674)	12.635*** (0.812)
Observations	2,688	2,688
R-squared	0.109	0.939
Country FE	No	Yes
Year FE	No	Yes
Wage level FE	No	Yes

Note: Robust standard errors in parentheses. Population is expressed in millions of inhabitants, wage and GDP per capita in thousands of USD.

*** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

The results presented above may be driven by countries with relatively high inflation rates. For instance, countries such as Iceland, Mexico, and the Slovak Republic exhibit an average annual inflation rate above 4%. Alternatively, the results may be driven by countries with highly progressive tax systems. For example, in the Netherlands, an individual earning 167% of the average income faces an AITR that is 22% higher than that faced by an individual earning 67% of the average income (see Table A2 for a comparison of AITR rates across countries). For this reason, we estimate Eq. (1) by dropping one country at a time. The estimated coefficients of the interaction term $Indexation \times CPI$ and their 90% confidence intervals (Figure 3) are very similar to those obtained in our baseline specification and are always statistically significant. Hence, we conclude that our main results are not driven by any specific country.

Figure 3 – Leave-one-out test estimates.



Notes: In this figure, we report the estimates of the β_3 coefficient from Eq. (1) with its 90% confidence interval, excluding from the original set of 28 countries one country at a time (reported on the x-axis).

6. Policy implications

To quantify the impact of indexation on fiscal drag, we use our estimates to construct two counterfactual scenarios and then compute the aggregate fiscal drag. First, what would the tax revenue be if countries with no indexation had adopted indexation? Second, what would the tax revenue be if countries with indexation had chosen no-indexation?

We define fiscal drag in non-indexing countries as the extra tax revenue collected as a direct consequence of the absence of personal income tax indexation. Symmetrically, for indexing countries, we define the tax revenue reduction due to indexation as the revenue that would have been collected in the absence of indexation.

We concentrate on Italy (non-indexing country) and France (indexing country) in the period 2019-2024, when inflation accelerated sharply (21% on average in the OECD countries). For Italy, the fiscal drag between 2019 and 2024 is estimated at around 17 billion dollars, corresponding to 0.9% of GDP in 2024.⁶

⁶ We compute this amount by multiplying the coefficient that measures the differential impact of CPI in the case of indexation ($\beta_3 = -0.070$) by the variation of the CPI in Italy ($CPI_{2024} - CPI_{2019} = 129.881 - 110.623$), and by the average gross wage in Italy in 2024 (34,892 USD), and then by the number of the Italian employees (36,668,580) in 2024.

Conversely, in France, where automatic indexation is in place, the fiscal drag not collected because of indexation is estimated to be 23 billion dollars, which is about 0.7% of the GDP in 2024.⁷

Applying the same back-of-the-envelope logic to the full sample, we estimate that cumulative fiscal drag in non-indexing countries over 2019–2024 amounts to about 178 billion dollars (1.04% of the GDP of the non-indexing countries in 2024)⁸, while indexing countries collect 492 billion dollars less with respect to potential non indexing countries (1.06% of the GDP of the indexing countries in 2024)⁹.

Reporting cumulative figures is crucial for correctly assessing the fiscal implications. In the absence of corrective policy action, inflation-induced bracket creep each year mechanically raises the tax burden relative to a counterfactual with constant real thresholds, and this higher effective burden becomes the new baseline for subsequent years. Therefore, unless the tax schedule is adjusted, fiscal drag is not a transitory one-off effect: it accumulates and compounds over time rather than dissipating.

7. Conclusion

This paper studies whether indexation of personal income tax parameters mitigates fiscal drag, focusing on the average tax rate on income. We estimate how inflation relates to the personal income tax rate in non-indexing and indexing systems.

We find that indexation systematically changes the mapping from inflation into average tax rates. We show that indexation weakens the pass-through from inflation into higher average income tax rates relative to non-indexing systems. Namely, indexation dampens the potential fiscal drag due to inflation.

Over 2019–2024, when inflation accelerated sharply, in France, where automatic indexation is applied, we estimate the avoided fiscal drag to be 23 billion dollars, corresponding to approximately 0.7% of GDP in 2024. For Italy, a non-indexing country, the fiscal drag raised by the government between 2019 and 2024 is estimated at around 17 billion dollars, corresponding to 0.9% of GDP. We estimate that the fiscal drag (paid by taxpayers) in non-indexing countries over 2019–2024 amounts to about 178 billion dollars (1.04% of the GDP), while in indexing countries taxpayers save 492 billion dollars (1.06% of the GDP), that they would have paid without indexation of the fiscal system.

Taken together, these results suggest that indexation is an effective tool to protect taxpayers from inflation-induced increases in the tax burden and to improve transparency by avoiding reliance on an implicit inflation tax, but it comes with a non-trivial revenue cost for governments, who should find elsewhere money to finance part of their public expenditure, or tax reforms. These reforms can also decrease the average tax on income, but they have nothing to do with the need to protect the purchasing power from the distortionary effect of inflation on taxation. In this work, we transparently identify the impact of inflation on the average income tax rate and the consequent impact of having or not an indexation mechanism of the tax system. Interestingly, we find that, under indexation, the average income tax rate declines following an increase in consumer prices. The intuition is that wages do not usually fully

⁷ This obtained by multiplying the coefficient that measures the impact of CPI in case of indexation ($\beta_2 = 0.07$) by the variation of the CPI in France ($CPI_{2024} - CPI_{2019} = 126.507 - 110.049$), and by the average gross wage in France in 2024 (43,168 USD), and then by the number of the French workers (47,245,305) in 2024.

⁸ For details on the calculation of the fiscal drag for countries that do not index their income tax system, see Table A.4.

⁹ For details on the calculation of the fiscal drag for countries that index their income tax system, see Table A.5.

adjust to change in consumer prices, leading to a reduction in purchasing power of wages after inflation. When the fiscal system is properly indexed, it will take this into account by decreasing taxes.

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Appendix

Table A1. Summary Statistics.

Variable	Number of observations	Mean	Standard deviation	Min	Max
AITR	2,800	19.483	9.067	-5.763	47.962
CPI	2,800	103.835	17.702	54.731	184.432
GDP per capita	2,800	41.746	22.975	4.520	137.782
Indexation	2,800	0.486	0.499	0	1
Population	2,800	40.352	62.546	0.281	336.673
Annual Wage	2,800	50.021	29.939	3.257	188.596

Note: population is expressed in millions of inhabitants, wage and GDP per capita in thousands of USD.

Table A2 - Average Income Tax Rate by country, average value 2000-2024.

	AITR 67% of avg. wage	AITR 100% of avg. wage	AITR 133% of avg. wage	AITR 167% of avg. wage
Australia	18,622	23,712	27,367	30,298
Austria	11,398	18,344	23,040	26,339
Belgium	24,054	31,990	37,127	40,409
Canada	15,275	20,519	23,711	27,636
Denmark	32,612	35,534	39,299	42,942
Finland	17,358	24,772	29,593	32,754
France	13,998	17,420	21,302	24,036
Germany	18,075	24,830	29,994	34,024
Greece	3,948	10,387	15,028	19,134
Iceland	23,310	27,687	31,316	33,456
Israel	7,240	12,838	17,444	21,812
Italy	15,899	22,649	27,610	30,851
Japan	6,783	8,630	10,584	13,840
Korea	1,944	4,989	7,589	10,039
Luxembourg	9,932	18,767	24,493	27,953
Mexico	0,987	6,827	10,468	12,686
Netherlands	6,677	17,499	24,536	30,221
New Zealand	15,790	18,927	22,107	24,490
Norway	18,784	22,801	27,211	30,112
Poland	6,684	8,186	8,943	9,669
Portugal	7,965	14,361	18,316	22,032
Slovak Republic	7,394	10,996	13,027	14,525
Slovenia	10,446	15,351	18,726	21,649
Spain	10,850	15,749	18,872	21,594
Sweden	18,541	21,286	27,866	33,588
Switzerland	8,884	12,029	14,850	17,305
United Kingdom	14,322	17,214	20,403	24,757
United States	15,719	18,573	22,275	24,595

Table A3 - Indexation and CPI effect on Average Income Tax Rate, including Turk.

Dep. Variable	(1) AITR
Indexation	4.561*** (0.605)
CPI	0.046*** (0.005)
Indexation*CPI	-0.048*** (0.005)
Population	0.059*** (0.012)
Wage	0.043*** (0.006)
GDP per capita	-0.051*** (0.010)
Constant	14.398*** (0.723)
Observations	2,900
R-squared	0.934
Country FE	Yes
Year FE	Yes
Wage level FE	Yes

Note: Robust standard errors in parentheses. Population is expressed in millions of inhabitants, wage and GDP per capita in thousands of USD.
*** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Table A4 – Calculation of the fiscal drag burden for employee taxpayers of non-indexing countries in the period 2024-2019.

Country	CPI index variation	Gross Wage (USD)	N. employees	Fiscal drag (in USD billions)
United Kingdom	27.788	61,698	51,964,113	62.36
Australia	24.506	68,495	20,964,583	24.63
Poland	50.029	19,904	27,242,619	18.99
Japan	8.930	30,565	98,346,726	18.79
Italy	19.257	34,892	36,668,580	17.25
Korea	17.037	36,549	35,989,605	15.69
Spain	20.546	32,090	32,261,516	14.89
Portugal	18.411	21,759	7,790,422	2.18
Greece	16.830	23,491	6,575,911	1.82
Slovenia	23.827	22,948	1,555,406	0.60
Luxembourg	18.838	70,521	471,707	0.44
Total non- indexing countries				177.64

Note: For each country, fiscal drag is computed as $\beta_3 = -0.07$ multiplied by the CPI variation between 2019 and 2024, the average wage in 2024, and the number of employees in 2024.

Table A5 – Compensated fiscal drag for employee taxpayers of indexing countries in the period 2019-2024.

Country	CPI index variation	Gross Wage (USD)	N. employees	Fiscal drag (in USD billions)
United States	26.613	65,224	241,934,781	293.97
Germany	22.014	54,302	64,764,134	54.19
Canada	21.351	60,251	30,832,263	27.76
Mexico	42.890	10,769	84,485,722	27.32
France	16.458	43,168	47,245,305	23.50
Netherlands	26.367	63,849	14,813,756	17.46
Austria	30.118	54,810	6,796,313	7.85
Belgium	25.041	56,638	7,872,896	7.82
Sweden	26.744	47,286	8,104,326	7.17
Norway	24.839	65,529	4,294,829	4.89
Denmark	16.945	73,841	4,612,201	4.04
New Zealand	26.622	48,429	4,150,274	3.75
Israel	14.249	48,873	6,722,196	3.28
Switzerland	5.962	105,705	7,238,236	3.19
Finland	20.761	51,875	4,078,652	3.07
Slovak Republic	40.002	17,368	3,926,934	1.91
Iceland	43.755	85,511	329,852	0.86

Total indexing countries

492.03

Note: For each country, fiscal drag is computed as $\beta_3 = 0.07$ multiplied by the CPI variation between 2019 and 2024, the average wage in 2024, and the number of employees in 2024.